Australia's Trade in Goods Account, June

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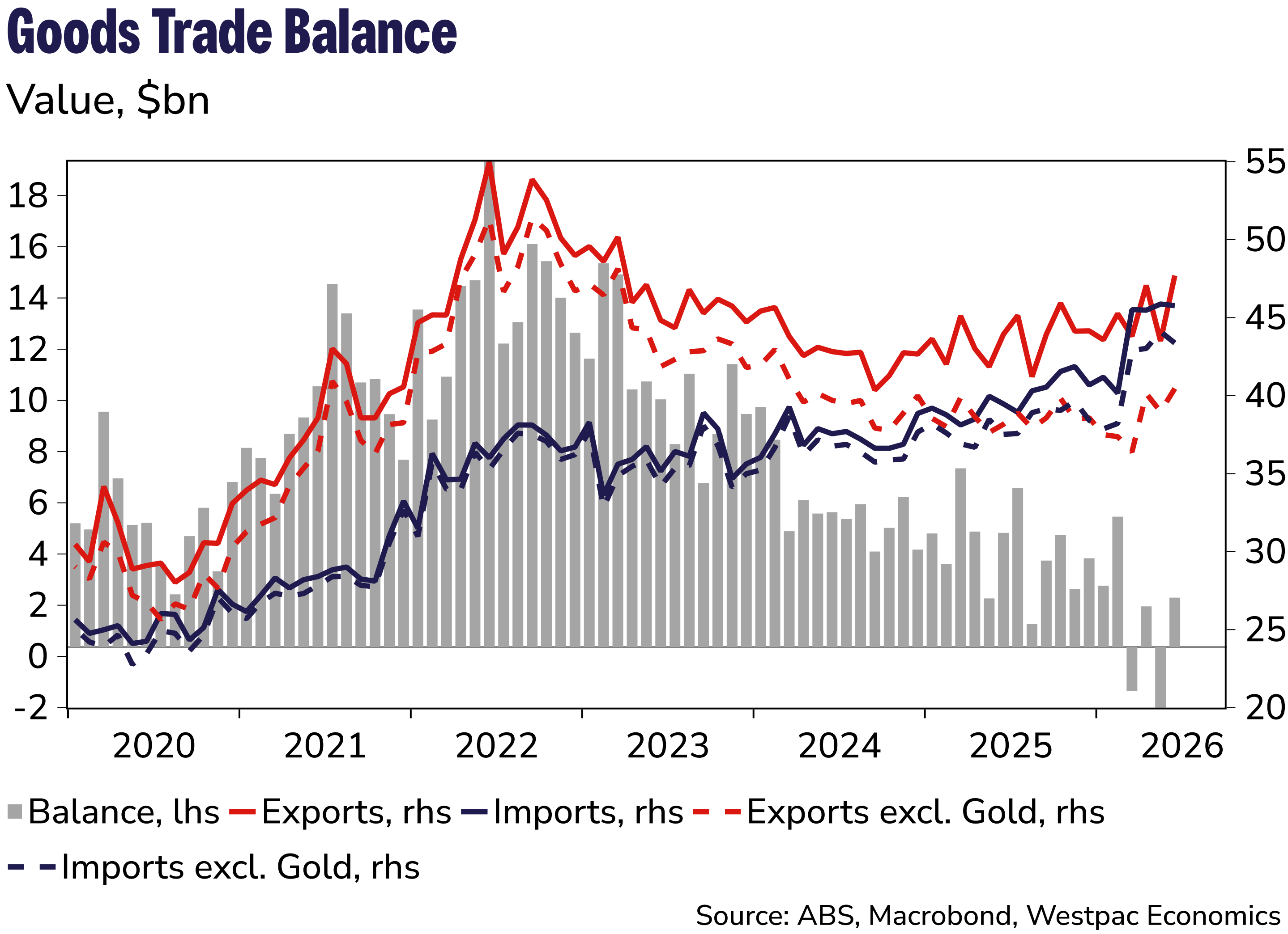
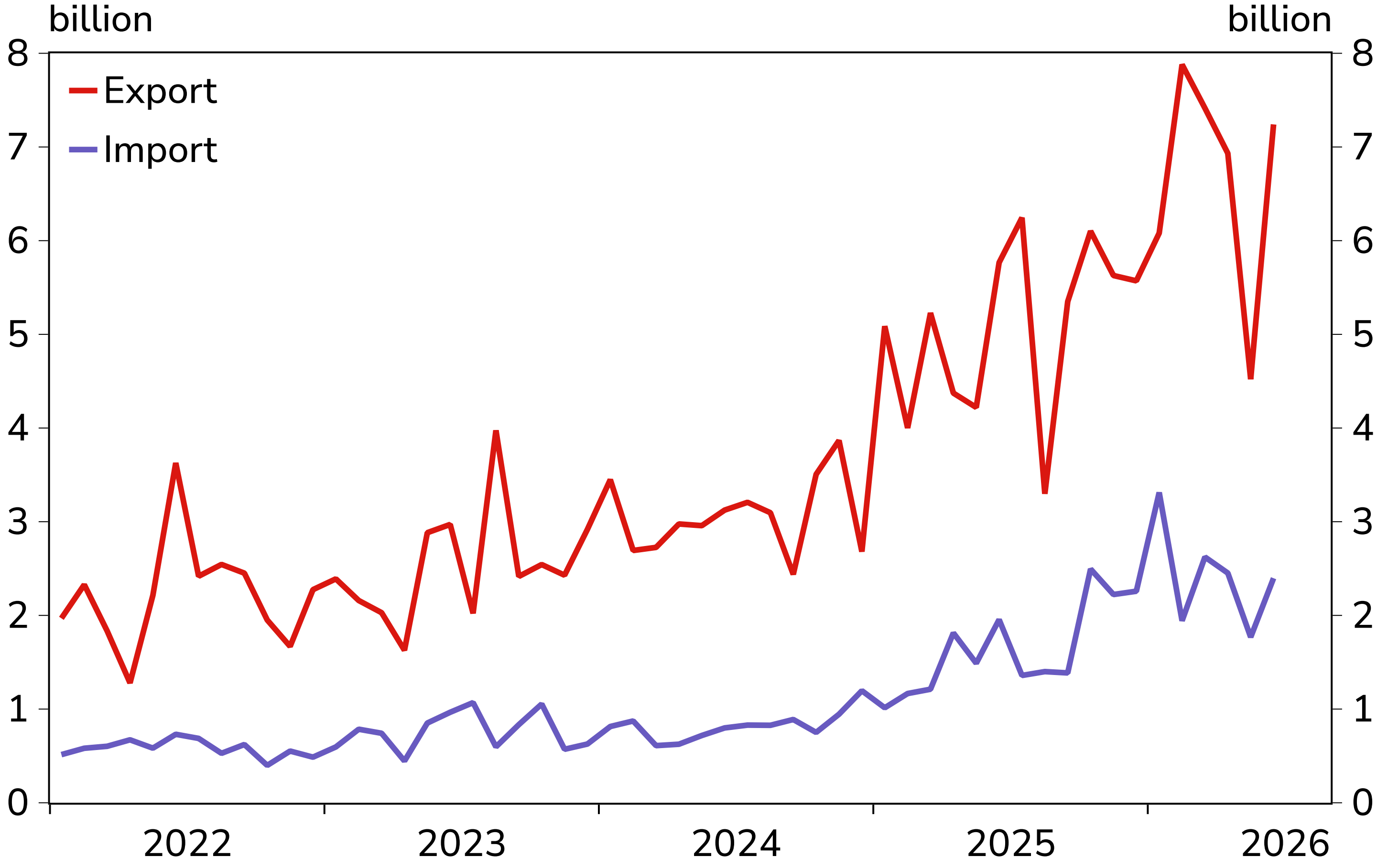
Trade data volatile amid sizeable swings across a range of exports and imports. Trade balance: $1.9bn surplus. Export values: 9.6%mth. Import values: -0.2%mth. Balance on goods likely to detract around 0.5ppt from growth in Q2 2026.

The latest trade data surprised to the upside, with the headline goods trade balance increasing $4.3bn over the month of June, swinging from a revised deficit of $2.4bn in May to a surplus of $1.9bn. This was well above the $1.1bn deficit expected by the market and is the largest monthly surplus since February this year.



(The detail suggests that several factors on both the export and import sides are pulling the goods trade balance in different directions with both prices and volumes contributing to the noise. These include sizeable swings in non-monetary gold flows, ongoing volatility in commodity exports and elevated but easing imports of fuel, motor vehicles and data centre equipment. Most of these influences are likely to persist for some time – in some cases into the medium term – suggesting that trade data are likely to remain volatile.

Gold trade flows (values)



Source: ABS, Macrobond, Westpac Economics

What does this mean for the June quarter?

Over the June quarter, our estimates have the trade balance on goods detracting around 0.5ppts from growth, with estimated export volumes growing at around 0.6%qtr, more than offset by an estimated 3.2%qtr increase in import volumes. The impact of the external sector on domestic activity also includes the trade balance on services, which will become available in the ABS Balance of Payment publication due to be released on 1 September.

Exports

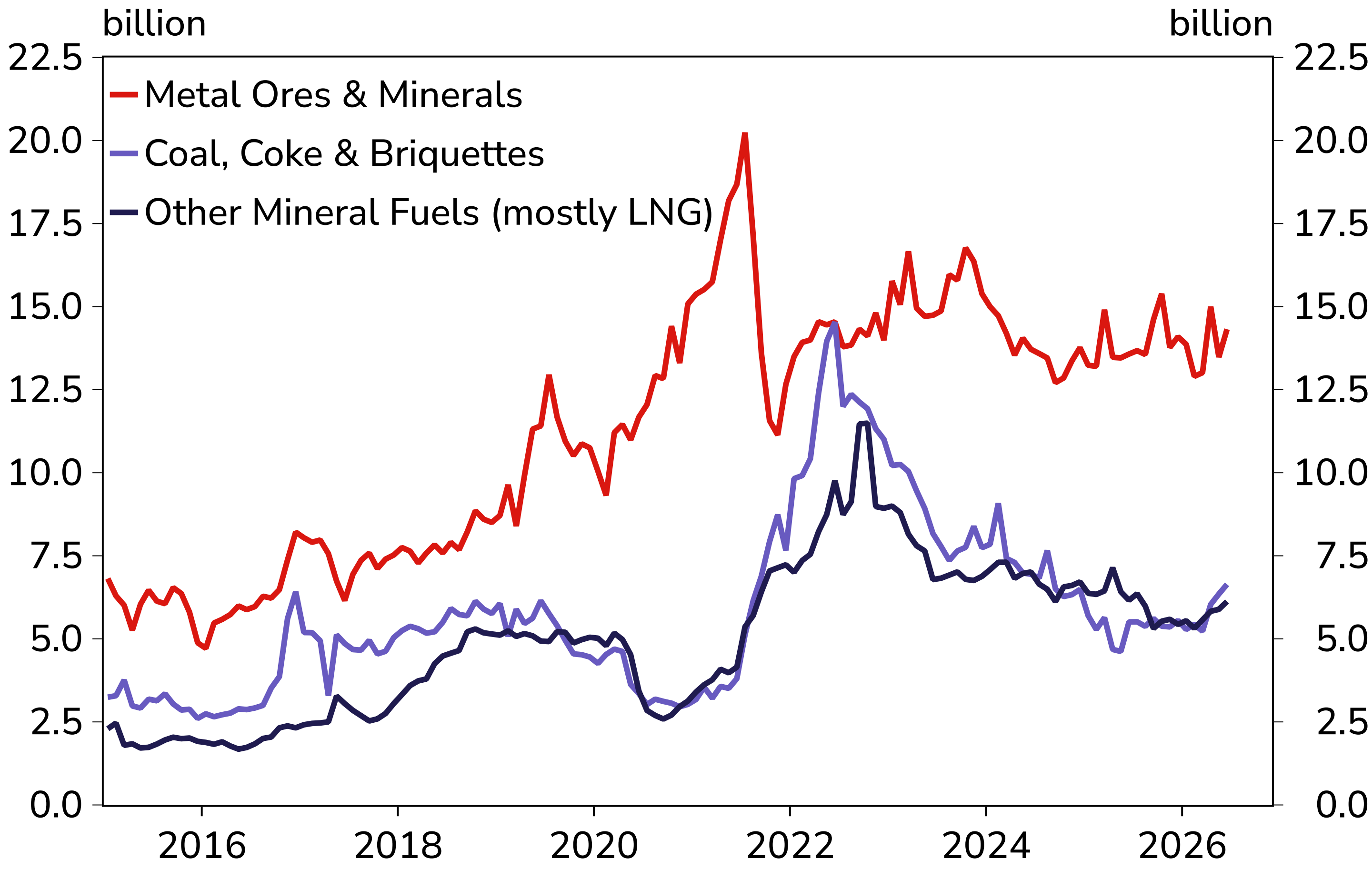
Export earnings rebounded strongly, the 9.6%mth rise in June more than fully retracing last month's 7.6% fall. In year-ended terms, export values are up a solid 8.6%. Over the June quarter, exports are up 4.2% with our estimates suggesting export volumes were up 0.5%qtr.

The monthly increase was largely driven by non-monetary gold, which jumped 60%mth, accounting for around three-quarters of the total pickup in exports. This reverses a large 35% decline last month, to be around 7.0% higher in year-ended terms.

Iron ore exports rebounded 6.2%mth following a 10% decline in May, to remain 5.5% higher in year-ended terms. ABS detail indicates that volumes drove the increase over the month and year, with prices slightly offsetting this pickup in volumes.

Among other major categories, coal and LNG exports rose by 4.6%mth and 4.0%mth, respectively. Given strong increases in preceding months, commodity (or non-rural) exports grew around 10.5% in the quarter, retracing the 5.2%qtr fall in Q1 2026.

Key Commodity Exports



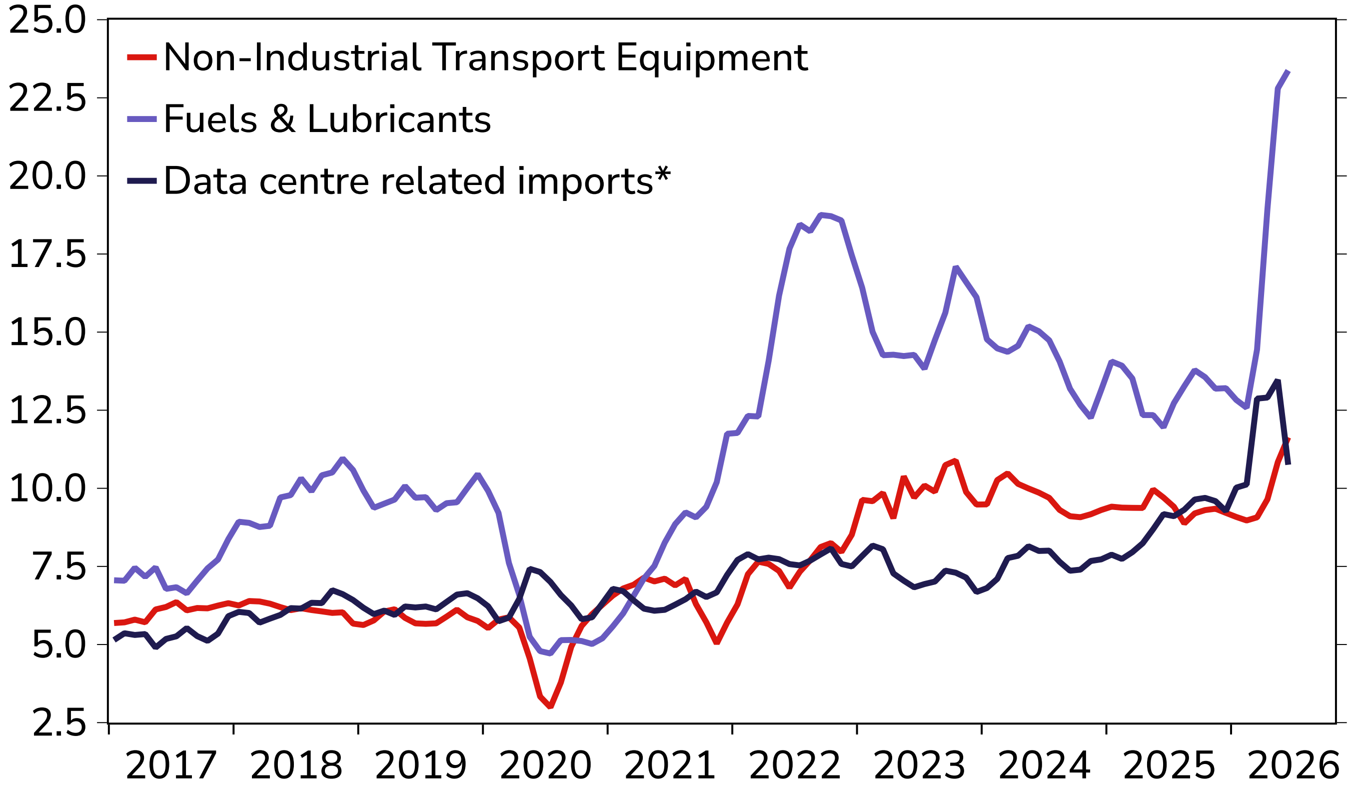
Source: ABS, Macrobond, Westpac Economics

Imports

Import values declined 0.2%mth but still grew strongly over the Q1 – up 8.1%qtr following a 2.2%qtr increase in Q1. The quarterly jump was driven by a sharp pick up in the imports of fuel. There was also a pickup in consumption goods which fell in Q1 but grew 4.4%qtr in Q2 driven by an almost 30% increase in the motor vehicle imports (non-industrial transport).

Selected goods imports categories

Quarterly rolling sum, $billions



Source: ABS, Macrobond, Westpac Economics

*Includes the Telecommunications & ADP Equipment categories

Looking at the monthly moves, non-monetary gold imports jumped almost 36%. Excluding gold, imports would have fallen 1.7% in the month, partly reflecting a pullback in fuel imports, which declined almost 12% but remained elevated. ABS estimates suggest that both fuel prices and volumes fell in June. With this effect likely to intensify, fuel import values should continue to ease.

The March quarter national accounts highlighted a strong increase in data centre investment. As many fit-out components are imported, the trade data provide a partial guide to this activity. Automated data processing equipment imports fell almost 24% in June and around 26% over the June quarter. Telecommunications equipment imports, which are also likely to be used in data centres, fell almost 9% in June but were broadly flat over the quarter. Together, these moves point to an easing in data centre investment momentum in the June quarter. Even so, data centre-related imports remained above their previous peak in the September quarter of 2025.

Elsewhere, civil aircraft imports, a volatile component of capital goods, fell by more than 30% in June following a surge of more than 160% in May.

Consumption goods imports rose just 0.8% in the month but were strong over the quarter. Motor vehicle imports fell almost 6% after double-digit gains in April and May, with the earlier surge likely driven by EV demand as elevated fuel prices and a wider range of models encouraged uptake. **Outside of vehicles, consumption imports remained soft, consistent with our forecast for subdued household consumption in Q2.**

Looking ahead

Outcomes for both exports and imports in coming months are likely to be shaped by developments in key commodity markets. With several major commodity prices having declined recently, we are likely to see softer outcomes in both commodity exports and fuel imports in July.

The headline trade balance will also be influenced by the evolution of data centre investment. Our previous analysis has highlighted the sector's significant expansion potential and broader economic implications. However, the latest trade data suggest that this expansion is unlikely to be linear, with imports associated with data centre build-outs remaining lumpy from month to month.

Importantly, imports of capital equipment used in data centre fit-outs provide only a partial view of the underlying activity. Construction, which relies more heavily on domestic labour and inputs, represents another major component of the investment cycle. The strength of this activity was evident in the June quarter non-residential building approvals data, which rose sharply and points to a robust pipeline of data centre construction activity ahead.

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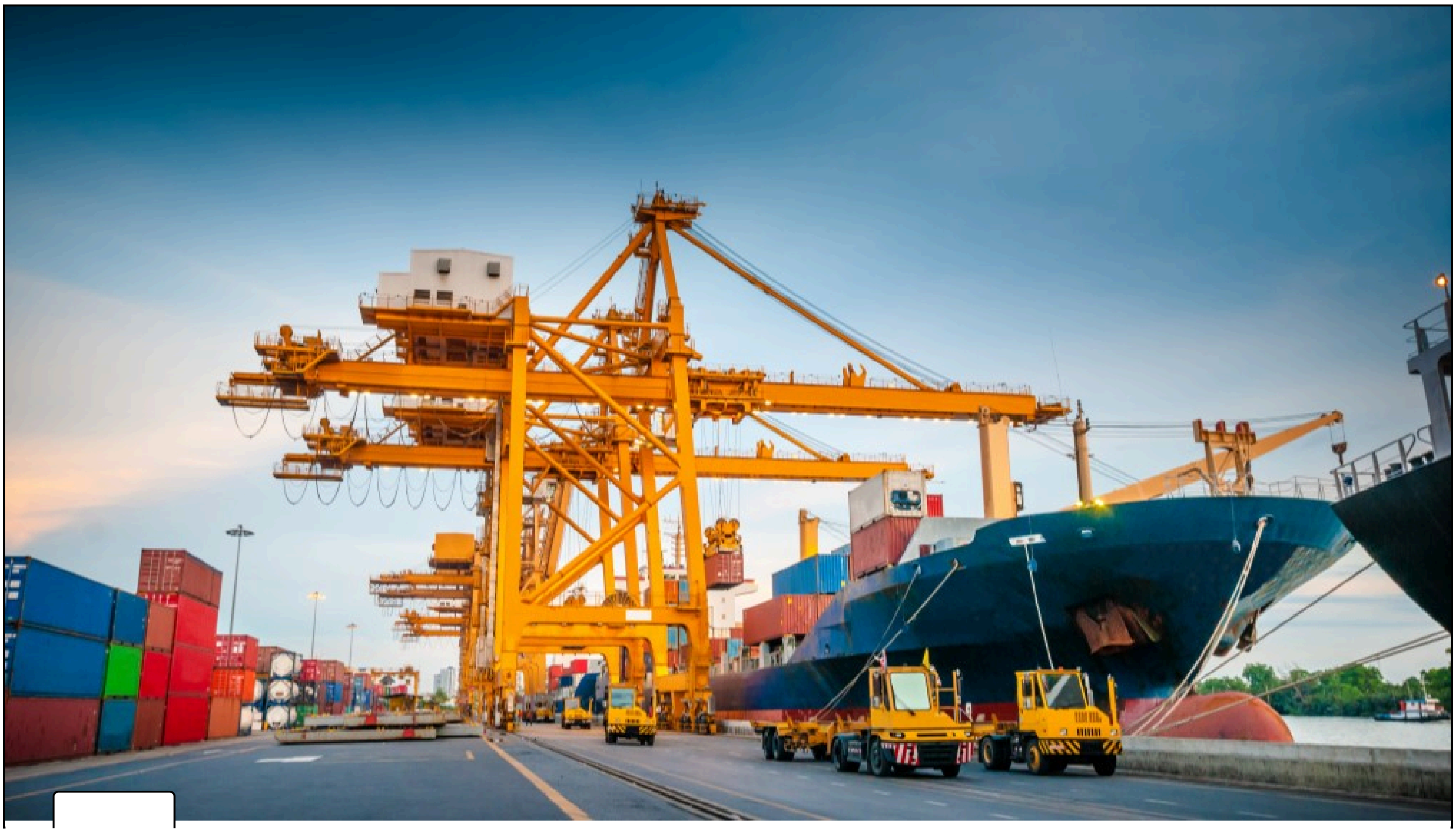

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